

## Disposition / Attention Stocks – Internship Candidate Exercise

### 0. Why Disposition / Attention Stocks Matter

The Taiwan Stock Exchange (TWSE) and Taipei Exchange (TPEX) place certain securities on Disposition (處置) or Attention lists when specific risk-control triggers fire—e.g., abnormal turnover, repeated limit-up/limit-down, large intraday swings (see Art. 4-1 of the official rule). Designation immediately tightens trading conditions (tick-size changes, day-trade bans, margin limits). Being able to anticipate new inclusions—and understanding how names behave before vs after designation—gives traders a real edge in liquidity management and risk control.

### 1. Your Mission

- Summarize the exchange rules for triggering such conditions, and produce a decision tree that can be used to classify stocks into the list
- Prototype an Intraday Monitor
  - Refresh during TWSE trading hours
  - Implement an alert / probability score based on the official triggers you choose to model (turnover vs paid-in capital, consecutive limit-up/limit-down, intraday swing  $\geq 15\%$  with high volume, etc.).
- Historical Exploration
  - Scrape historical daily lists from TWSE and TPEX.
  - For each trigger criterion, quantify how often it was the deciding factor (e.g., ‘Turnover spike explains 42 % of past designations’).
  - Analyse price, volume, and volatility behaviour around designation (T-x to T+x of your choice).
- Insights & Trade Ideas
  - Extract  $\geq 3$  actionable observations (liquidity droughts, volatility fade, mean-reversion, etc.).
  - Pick one observation and outline a trade setup (entry/exit logic, sizing, risk).

### 2. Key References & Data Sources

| Purpose                             | URL                                                                                                                                                       |
|-------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------|
| Daily TWSE disposition list         | <a href="https://www.twse.com.tw/en/announcement/punish.html">https://www.twse.com.tw/en/announcement/punish.html</a>                                     |
| Daily TPEX disposal list            | <a href="https://www.tpex.org.tw/en-us/announce/market/disposal.html">https://www.tpex.org.tw/en-us/announce/market/disposal.html</a>                     |
| Official rule & triggers (Art. 4-1) | <a href="https://twse-regulation.twse.com.tw/m/en/LawContent.aspx?FID=FL007226">https://twse-regulation.twse.com.tw/m/en/LawContent.aspx?FID=FL007226</a> |
| Trading-system restrictions         | <a href="https://www.twse.com.tw/en/products/system/trading.html">https://www.twse.com.tw/en/products/system/trading.html</a>                             |
| Extra trigger guidance              | <a href="https://www.twse.com.tw/en/announcement/notetrans.html">https://www.twse.com.tw/en/announcement/notetrans.html</a>                               |

### **3. What to Submit**

- A presentation deck ( $\approx$  10 slides or fewer) that walks us through your data pipeline, logic, findings, and a monitor screenshot.
- Include code/notebooks only if they genuinely help reviewers reproduce or understand your work—clean and well-commented beats bulky dumps. Python language preferred.
- Feel free to use AI tools—just add a short appendix on prompts/iterations you tried and any bottlenecks you faced.

There's no rigid folder structure—package your work however best showcases your thinking.

### **4. What We'll Look For**

- Sound data-engineering choices and reproducibility
- Clear mapping of rules from the official regulation into code / logic
- Depth of statistical analysis and robustness of conclusions
- Trading relevance and creativity of insights & trade idea
- Clarity, brevity, and professionalism of the presentation
- Transparency about any AI assistance and its limitations

### **5. Next Steps**

After reviewing all decks, selected candidates will be invited for an in-person interview to present their work, discuss trade-offs, and field Q&A.